

TRADE PROMOTION AGREEMENT

Confidential — Customer Development / Trade Marketing · Q3 FY26 Promotional Period

Agreement No.	TPA-FY26-Q3-04419	Version	1.0
Supplier	Nestlé USA, Inc. - Grocery Division	Retailer	Valley Foods Group
Retailer DUNS	11-556-8021	Banner(s)	ValleyFresh
Promo Period	2026-07-06 through 2026-09-27 (13 weeks)	Ship Window	2026-06-22 through 2026-09-13
Category	Coffee & Beverages; Confectionery	Buyer Contact	T. Okafor, Category Manager
Total Committed Funding	USD 486,000.00	Payment Terms	Net 45 from invoice; deduction-eligible

1. Scope of Agreement

This Agreement governs promotional funding, display commitments, and performance measurement for the SKUs listed in Section 2 across all 147 Retailer locations. Funding is contingent on Retailer executing the feature and display activity described in Section 3 and on Retailer maintaining distribution of at least 90% of the authorized SKU set for the duration of the Promo Period. Deductions taken against this Agreement must reference the Agreement No. and the applicable Promo Event ID.

2. Committed SKUs and Promotional Pricing

GTIN / UPC	Item Description	Pack	List (cs)	Promo Allow (cs)	Net Promo (cs)	Retail Feature	Fcst Cases
0-28000-11045-2	Nescafé Taster's Choice House Blend 14oz	6/14 oz	68.40	9.60	58.80	\$7.99	6,992
0-28000-11312-5	Nescafé Clásico Instant 10.5oz	12/10.5 oz	94.20	14.40	79.80	\$6.49	4,845
0-50000-24418-9	Coffee mate French Vanilla 32oz	12/32 oz	51.60	7.20	44.40	\$3.99	9,994
0-50000-24502-5	Coffee mate Original Powder 56oz	6/56 oz	43.80	6.00	37.80	\$6.99	3,754
0-28000-90117-4	Nesquik Chocolate Powder 40.7oz	6/40.7 oz	39.00	5.40	33.60	\$5.49	2,819
0-34000-16008-1	Toll House Semi-Sweet Morsels 12oz	12/12 oz	36.60	6.60	30.00	\$2.99	11,837
0-34000-40010-9	Butterfinger Fun Size Bag 10.9oz	12/10.9 oz	42.00	8.40	33.60	\$3.49	8,702
0-34000-41100-6	Crunch Miniatures Bag 11oz	12/11 oz	42.00	8.40	33.60	\$5.69	5,548

3. Funding Detail by Event

Promo Event ID	Event Type	Weeks	Mechanic	Funding Type	Committed USD
EV-26Q3-0881	Front-page circular ad	Wk 28–30	Feature price + ad block	Off-invoice	118,560.00
EV-26Q3-0882	End-cap display	Wk 28–33	Half pallet, 4 SKUs	Bill-back	102,030.00
EV-26Q3-0883	Digital coupon (retailer app)	Wk 31–35	\$1.00 off 2	Scan-back	69,920.00
EV-26Q3-0884	Back-to-school lobby pallet	Wk 32–35	Mixed pallet, 6 SKUs	Lump sum	85,500.00
EV-26Q3-0885	Shelf-edge tags + shipper	Wk 34–39	EDLP support	Off-invoice	56,240.00
EV-26Q3-0886	Holiday baking pre-build	Wk 37–39	Feature + display	Bill-back	55,860.00

Promo Event ID	Event Type	Weeks	Mechanic	Funding Type	Committed USD
				TOTAL	488,110.00

4. Performance Conditions

- 4.1** Retailer shall achieve a minimum of 88% display compliance measured across the audited store sample. Compliance below 88% but at or above 75% results in a pro-rata reduction of display funding. Compliance below 75% forfeits display funding in full.
- 4.2** Retailer shall submit weekly POS and on-hand inventory files by 10:00 CT each Tuesday for the prior week ending Saturday, at store/item grain. Two or more consecutive missed submissions suspend scan-back accrual until files are current.
- 4.3** Incremental volume target is 14.5% over the FY25 comparable-period baseline of 128,640 equivalent cases. Achievement between 100% and 115% of target earns a growth rebate of 0.75% of net promoted purchases; achievement above 115% earns 1.25%.
- 4.4** Out-of-stock rate on committed SKUs shall not exceed 4.0% of store-weeks. Supplier fill rate commitment is 97.5% on-time in-full; shortfalls below 95.0% waive the corresponding Retailer OOS obligation for the affected weeks.
- 4.5** Deductions must be submitted within 90 days of event end with supporting documentation. Undocumented deductions are subject to reversal.

5. Distribution Commitment by Zone

Zone	Stores	Authorized SKUs	Min. Distribution	DC Ship Point	Lead Time
Central - North	3	8 of 8	90%	Joliet IL Distribution Center	3–5 days
Central - South	2	8 of 8	90%	Joliet IL Distribution Center	3–5 days
Great Lakes - East	2	8 of 8	90%	Grand Rapids MI Distribution Center	3–5 days
Great Lakes - West	3	8 of 8	90%	Grand Rapids MI Distribution Center	3–5 days
Express	2	5 of 8	85%	Bolingbrook IL Distribution Center	3–5 days

6. Exclusions

This Agreement does not cover: (a) e-commerce fulfillment via third-party marketplaces; (b) club-format or wholesale channel volume; (c) private-label or co-manufactured items; (d) any SKU discontinued by Supplier with 30 days' written notice; (e) shrink, damage, or unsaleable allowances, which are governed by the master Vendor Agreement.

For Supplier — Nestlé USA, Inc. - Grocery Division	For Retailer — Valley Foods Group
Name: R. Okonkwo Title: Director, Customer Development Date: 2026-07-24 Signature: /s/ R. Okonkwo	Name: T. Okafor Title: Category Manager Date: 2026-07-24 Signature: /s/ T. Okafor

SAMPLE DOCUMENT — generated for demonstration purposes. All retailers, store numbers, figures, contacts and signatures are fictitious. Source: /sites/CustomerDev-Grocery/Shared Documents/Agreements/